Kingswood CLO 2024-1, Ltd.

Preliminary Term Sheet | 12 March 2024 | Confidential

1. Transaction overview

This preliminary term sheet describes Kingswood CLO 2024-1, Ltd., a Cayman Islands exempted company (the Issuer), and Kingswood CLO 2024-1, LLC, a Delaware limited liability company (the Co-Issuer). The Issuers will issue secured notes and subordinated notes in a collateralized loan obligation managed by Crestview CLO Advisors LLC (the Collateral Manager). Citibank, N.A. will act as Trustee, collateral administrator, and notes paying agent. The transaction is expected to close on 28 March 2024 in Chicago. This document is a fictional sample for software testing only and is not an offer to sell securities.

Wei Nakamura is the lead portfolio manager at Crestview CLO Advisors LLC for Kingswood CLO 2024-1. Claire Fontaine is the chief credit officer. The Collateral Manager is headquartered in Chicago and is a wholly owned subsidiary of Crestview Financial LP.

2. Capital structure

The Issuers expect to issue the following tranches. Par amounts are in US dollars. Ratings are expected ratings from Moody's and S&P and are not a recommendation to buy.

- Class A Senior Secured Floating Rate Notes: $215,000,000; AAA(sf)/Aaa(sf); SOFR + 1.45%; WAL 6.8 years.
- Class B Senior Secured Floating Rate Notes: $31,174,999; AA(sf)/Aa2(sf); SOFR + 2.10%.
- Class C Mezzanine Secured Deferrable Notes: $20,855,000; A(sf)/A2(sf); SOFR + 2.85%.
- Class D Mezzanine Secured Deferrable Notes: $15,694,999; BBB(sf)/Baa3(sf); SOFR + 4.20%.
- Class E Junior Secured Deferrable Notes: $12,040,000; BB(sf)/Ba3(sf); SOFR + 7.15%.
- Subordinated Notes: $27,735,000; unrated; residual interest.

3. Collateral and eligibility

The portfolio will consist primarily of US broadly syndicated first-lien senior secured loans, with a target par amount of $400,000,000. At closing, the warehouse facility provided by Summit National Bank will be refinanced into the CLO. Eligible collateral must be US dollar denominated, have a Moody's rating of at least Caa1 or an S&P rating of at least CCC+, and may not be equity, bonds, or delayed-draw commitments above the stated basket.

Initial seed names expected in the warehouse include Kingswood Academies (first-lien term loan), Liberty Bridge Steel (first-lien term loan), Schuylkill Water Co. (first-lien term loan), Penn Valley Foods (first-lien term loan). Kingswood Academies is sponsored by Lantern Hospitality.

4. Coverage tests and covenants

Kingswood CLO 2024-1 will be governed by standard overcollateralization and interest coverage tests. Failure of a Class A/B Overcollateralization Test or a Class A/B Interest Coverage Test redirects interest proceeds to pay down senior notes in sequential order until the test is cured.

- Class A/B Overcollateralization Test: minimum 122.0%. This covenant is measured monthly by Citibank, N.A. as Trustee.
- Class A/B Interest Coverage Test: minimum 120.0%.
- Class C Overcollateralization Test: minimum 114.0%.
- Class D Overcollateralization Test: minimum 108.5%.
- Interest Diversion Test: if the Class E par coverage ratio is below 104.5%, 50% of remaining interest is used to buy additional collateral or pay down notes.

5. Concentration limits

The indenture imposes the following concentration limits on the collateral principal amount. Excess amounts are treated as haircut collateral for tests.

- Largest obligor: 2.0% (Kingswood Academies is expected near 1.58% at close).
- Largest Moody's industry: 12.0%.
- Caa bucket (Moody's Caa1 or below): 7.5%.
- Second-lien and unsecured loans: 5.0% combined.
- Covenant-lite loans: 90.0% maximum.
- Non-US obligors: 15.0% maximum.

6. Parties and contacts

Collateral Manager: Crestview CLO Advisors LLC, Chicago. Primary coverage: Wei Nakamura (portfolio manager) and Claire Fontaine (chief credit officer). Trustee and collateral administrator: Citibank, N.A., New York. Placement agent: Westfield Securities LLC. Warehouse lender: Summit National Bank. Issuer counsel: Hale & Martin LLP. Questions on this term sheet should be directed to Wei Nakamura at Crestview CLO Advisors LLC.

The Collateral Manager may sell or buy loans for Kingswood CLO 2024-1 during the five-year reinvestment period, subject to the eligibility criteria and the reinvestment overcollateralization test. After the reinvestment period ends on 28 March 2029, principal proceeds are used to amortize the notes sequentially, beginning with the Class A Senior Secured Floating Rate Notes.